

GCC 360

Policy, Economics & Market Access Insights



ABOUT THE EXPERT CONTRIBUTOR

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His research covers Gulf economic diversification, industrial policy, trade, labour markets, the knowledge economy, climate change, and the political economy of Gulf states. His policy research has been published at global institutions, including the London School of Economics, the Arab Gulf States Institute in Washington, the Gulf International Forum, and the Washington Institute for Near East Policy. His expert commentary appears in news outlets like the New York Times, The Washington Post, DW, AFP, Al-Monitor, Orient XII, The National, and The Peninsula, and he has been an on-air expert for the BBC, Al Jazeera, CGTN, and others.

His academic articles have been published in leading journals like the Economic Journal, the Proceedings of the National Academy of Sciences, the American Economic Journal, and the Journal of the European Economic Association, and have been cited close to 1000 times.



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1. GCC MACRO & BUSINESS SNAPSHOT

	Saudi Arabia	UAE	Qatar	Kuwait	Bahrain	Oman
Equity index (m/m %)	-0.9	+1.6	+2.4	-0.4	+0.35	-7.3
PMI	52.8 (+1.3)	52.6 (+0.5)	45.9 (-0.5)	47.2 (+0.9)	N/A	N/A
Maritime trade (m/m %)	+11.9	-44.3	-10.0	-98.3	-19.3	-3.2

Notes: Figures are for the last completed month unless a different reference month is shown in parentheses. Equity: month-on-month index return; Saudi Arabia/UAE/Qatar/Kuwait = iShares MSCI ETF (USD); Bahrain = BHBX All Share Index; Oman = MSX30. PMI: S&P Global / Riyadh Bank, with month-on-month change in parentheses (Saudi Arabia, UAE, Qatar, Kuwait; no series for Bahrain or Oman). Maritime trade: month-on-month change in total seaborne trade (imports + exports by tonnage) through each country's ports, from IMF PortWatch (near-real-time AIS shipping estimates, not official customs data). N/A = not available or not published for this market.

2. FEATURE ANALYSIS

Gulf Domestic Tech Investment: What the Humain and CargoX Deals Actually Signal

The Iran war has forced a hard reckoning with the Gulf's structural dependence on the Strait of Hormuz. The increased operational cost, structural damage, and reduced income are forcing a redirection of GCC investment flows. Saudi Arabia's PIF, for example, increased domestic deployment from 75 to 80 percent, although this change merely formalises a pre-existing trend: actual domestic deployment was already at 83% in 2024. While the oil price surge has produced a windfall for those countries with bypasses, i.e., Saudi Arabia and the UAE (pipelines), and Oman (geography), the closure still paralysed shipping, disrupted supply chains, and pushed non-oil sector costs sharply higher, with surging operational costs from defence expenditure to land-transport cost markups. Given that the Saudi fiscal breakeven oil price was already estimated at close to \$100 even at pre-war volumes, it is unsurprising that the Saudi Aramco revenue increase was still accompanied by a SR125.7 billion Q1 budget deficit (more than double than last year's Q1), highlighting the strategic necessity of building a domestic economic base capable of operating through disruption.

Two announcements in early June embody this shift. Humain, PIF's sovereign AI vehicle, announced a partnership with Nvidia to deploy fully autonomous ("Level 4") robotaxis across Saudi Arabia and the Middle East, backed by commitments for several hundred thousand Nvidia GPUs over five years and a 500-megawatt AI data centre. Days later, CargoX, an early-stage, pre-revenue UAE-headquartered autonomous delivery company, raised \$250 million from a BlueFive Capital-led consortium to expand driverless logistics across the UAE and beyond. The timing of both deals reflects a deliberate capital reorientation accelerated by the war and formalised in updated SWF mandates.

The robotaxi framing, however, should be read carefully. At its core, Humain's announcement is a cloud-compute partnership, and Nvidia announced other similar robotaxi deals simultaneously across Taiwan, Southeast Asia, and Europe, suggesting a vendor product roll-out rather than a Saudi-specific deployment. Regarding CargoX, as of its funding close, it had not commenced commercial operations and the \$250 million precedes any paid delivery. Both deals also fall into a category where regional flagship projects frequently slip. NEOM's The Line has been halted until after 2030, with an estimated \$50 billion spent, Dubai's Virgin Hyperloop went bankrupt in 2023 without breaking ground, and smart city ambitions across the region consistently encounter the same barriers: high upfront capital requirements, skills gaps, legacy infrastructure, and a top-down planning model ill-suited to iterative deployment. Robotaxis fit the same risk profile as they are capital-intensive, globally unproven at scale, and regulatory-sensitive.

The more durable signal in both deals is the not consumer-facing layer but the infrastructure layer. Humain's 500-megawatt data centre commitment and its \$10 billion AMD compute agreement represent real capital in physical assets. NEOM itself has begun pivoting from the linear city concept toward data centre infrastructure, anchoring a \$5 billion facility with DataVolt. But the infrastructure layer now carries risks that the pre-war investment thesis did not price in: two Amazon data centres in the UAE were targeted early in the conflict, Pure Data Center Group explicitly paused investment decisions on Middle East projects while keeping planning discussions active, and BCLP, which advises large-scale data centre projects in the region, reports that decision timelines are lengthening as new risk categories are priced in. Furthermore, energy costs, which are historically the Gulf's decisive competitive advantage, have moved against the thesis as UAE petrol prices rose 30% in April. Thanks to the war, facilities will require physical hardening, anti-drone technology, and higher insurance coverage.

But while healthy scepticism is warranted for some projects, that does not mean a blanket verdict. The region has experienced many deployment successes whenever investments have met real, well-defined use cases. For example, G42's M42 has put clinical AI into live primary-care use, DP World has automated cargo handling at Jeddah, and SAMI has localised defence manufacturing using industry-4.0 principles. The common thread, as mentioned above, is an emphasis on infrastructure and process instead of speculative consumer applications, of the kind of the two headline deals. Thus, while data centres are a more credible bet than robotaxi fleets, they are no longer a straightforward one.

The macro context reinforces the case for measured expectations. UAE non-oil PMI reached 52.6 in May 2026, above the expansion threshold but still below its long-run average of 54.3 while supply chain delivery times have lengthened to levels last recorded in April 2020. Input costs rose at the second-fastest pace in two years, and firms cut selling prices for the first time since June 2025, compressing margins across non-oil sectors. For corporate operators in the Gulf, the war is a live constraint on sourcing, logistics, and demand. The gap between investment announcements and operational conditions creates execution risk.

DECISION RELEVANCE

The structural reorientation of Gulf SWF capital toward domestic technology and infrastructure is real, accelerated by the Iran war, and unlikely to reverse regardless of how the conflict resolves. PIF's 80/20 domestic allocation creates a sustained pipeline for technology partners, systems integrators, data centre developers, and infrastructure service providers anchored in the region. The opportunity, however, is in the layer below the headline: AI compute, data centre construction and operations, logistics infrastructure, and the professional services supply chain that enables deployment at scale.

Investors and firms positioning for Gulf tech exposure should distinguish between the infrastructure contract opportunity, with real capital and near-term procurement, and consumer-facing application bets, where execution timelines routinely slip and fiscal pressure has historically triggered strategic pivots. However, the infrastructure layer itself now requires a revised risk model. Factor in facility hardening costs, insurance uplift, energy price volatility, and the possibility of extended decision timelines as global operators reassess Middle East exposure. Watch Humain's first tender round and the pace at which paused data centre decisions resume as the leading indicators of whether the investment cycle restarts or stalls. Continued Hormuz uncertainty is the single variable that matters most for both.

3. GEOPOLITICAL RISK TRACKER

REGIONAL — US-IRAN MoU: FRAGILE FRAMEWORK

Washington and Tehran have announced the cessation of hostilities with narrow scope: toll-free Hormuz reopening, lifting the US naval blockade, mine-clearance, limited oil-export waivers. More contested files are slated for resolution within 60 days: full sanctions relief, frozen-asset release, reconstruction financing, nuclear file. But near-term challenges include: continued US naval blockade until signing of the agreement, continued Israeli escalation in Lebanon, Iranian insistence on Hormuz fees. Longer-term challenges include: lifting US sanctions and unfreezing Iranian assets is legally complex, the nuclear settlement is unresolved. For companies: hold war-risk and contingency posture through the 60-day window at minimum; tie any reactivation of Gulf-loading, insurance, or staffing decisions to verified mine-clearance and verified transit; build a plausible re-escalation scenario (Israel-triggered breakdown; failed nuclear round) into Q3 planning.

GULF — OIL SUPPLY CHAIN: EXTENDED RECOVERY WINDOW

An ADNOC senior executive stated on 2 June that supply chains could take up to a year to normalise even after Strait of Hormuz flows stabilise fully. For companies with hydrocarbon procurement contracts tied to Gulf loading, this extends the period of elevated freight costs, longer delivery times, and logistical uncertainty well beyond the ceasefire itself. Budget and procurement models that assume a rapid post-conflict normalisation should be revised. This means concretely: extend hedging and fixed-freight cover through at least mid-2027 rather than to a ceasefire date; lengthen lead-time and safety-stock assumptions for Gulf-loaded cargo; diversify loading points toward Red Sea and bypass terminals (Fujairah, Yanbu, or, preferably, Omani ports: Sohar, Salalah, Duqm), wherever feasible and contract terms allow; and stress-test margins against freight and insurance costs staying elevated for a further 12 months.

UAE — HORMUZ BYPASS PIPELINE ACCELERATED

The UAE confirmed in May that it is fast-tracking the expansion of its Habshan-Fujairah pipeline to reduce reliance on the Strait of Hormuz, doubling the UAE's bypass capacity. For energy buyers with UAE-sourced crude contracts, the expanded capacity reduces long-run delivery risk (although the pipeline itself has proven vulnerable to aerial attack). For engineering and infrastructure firms, it creates a medium-term procurement pipeline.

4. REGULATORY & POLICY DEVELOPMENTS

UK — GCC Trade Deal

The UK-GCC Free Trade Agreement concluded negotiations in May, with Bahrain's industry minister describing it as a "monumental achievement." The GCC-EU summit later this year may jumpstart the trade negotiations between the two blocs. → In practical terms, British firms gain phased tariff reductions on goods exports, improved access to GCC states service markets, eligibility for government procurement, and streamlined customs procedures, for the first time under a bilateral framework.

UAE — Medical Tourism Visa

Dubai launched a smart medical treatment visa allowing international patients to enter for scheduled treatment at accredited facilities → Healthcare providers, private hospitals, and medical tourism operators gain a dedicated entry mechanism that removes the previous reliance on general tourist or short-stay visas for inbound patients.

Oman — AI Free Zone

Oman announced a dedicated AI economic zone designed to attract data infrastructure investment and digital businesses under a distinct regulatory and fiscal framework → Technology companies and data centre operators considering GCC entry now have a purpose-built jurisdiction with preferential terms that competes directly with UAE free zone offerings.

5. WHAT TO WATCH

1. Saudi Arabia PMI — June reading

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2. ADNOC upstream contract awards — \$55bn post-OPEC programme

Following the UAE's OPEC exit, ADNOC announced a \$55bn upstream contract programme with first awards expected in Q2-Q3 2026. Watch the pace and contractor mix: whether foreign firms compete or defer is the leading indicator for whether the UAE energy investment cycle is restarting under current conditions.

3. OPEC + July quota - a paper increase

On 7 June, eight OPEC+ producers agreed a fourth consecutive monthly rise (by 188,000 bpd), lifting the July target and continuing its cautious, reversible approach. But with Strait of Hormuz flows still largely halted, these hikes cannot currently translate into actual exports or revenue. The signal for the months ahead is that headline supply policy has decoupled from physical reality. Watch whether OPEC+ holds this line or pauses the unwind if the closure persists.



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